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Fasten Your Balance Sheets

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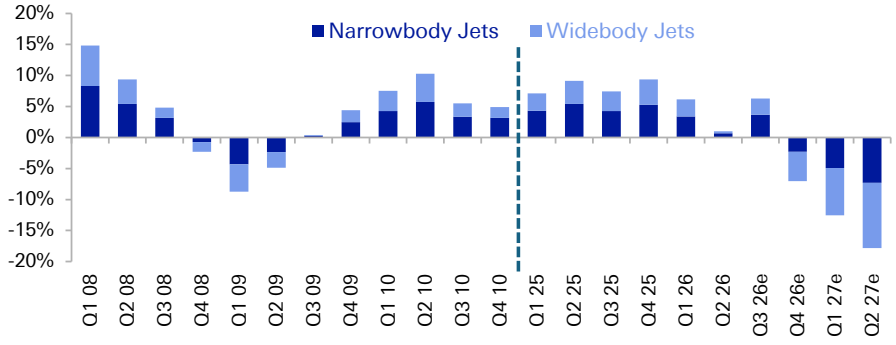
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Echoes of 2008–09, but too early to call

This week's developments at airBaltic and a low-cost carrier provide an early warning that the sharp rise in jet-fuel costs is beginning to test airline balance sheets. airBaltic filed for Chapter 11 protection, meanwhile, another airline is seeking fresh capital following persistent losses and an extensive restructuring. An obvious historical comparison is 2008–09, when fuel prices peaked before the global financial crisis drove a severe demand contraction. The stress triggered a broad wave of airline bankruptcies, restructurings and operational closures as weaker carriers struggled. At the trough in Q1 2009, IATA international data showed RPKs declining 9.1% YoY, versus ASKs down by 4%, while FTKs fell 23%. For 2009, global passenger and freight traffic declined 2.1% and 9.8%, respectively. On the back of this fleet exits also accelerated with Cirium data indicating a quarterly retirement rate of c. 0.7% between mid-2008 and mid-2010, nearly twice the average recorded over the past two years. The current picture however remains mixed: higher fuel prices are increasing airline costs, but passenger demand remains strong compared to 2008-09. Nevertheless, three major US airlines are already moderating capacity. If fuel and financing pressures persist or demand softens, more airlines could reassess fleet and capacity plans. For manufacturers, prolonged pressure could increase order, delivery-deferral and cancellation risk. Earlier retirements could pressure aftermarket pricing and demand. For now, we are monitoring developments before drawing parallels with the 2008–09 downturn.

Figure 1: Quarterly y-o-y change in utilization hours (Cirium estimates in 27)



Source : Cirium, Deutsche Bank (Utilization hour projections tend to overstate the decline)

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Company news of interest

Below, we provide important sector news relevant to our coverage universe. We select these stories and present them by company, along with our views.

Airbus (Buy, PT: €232)

FAA waives emissions rules to let Boeing sell 35 additional 777F freighters

The Federal Aviation Administration (FAA) has granted Boeing an exemption to continue producing and delivering 35 new 777-200LR freighters between 2028 and 2031, waiving upcoming fuel efficiency limits that would otherwise have prevented their sale after January 1, 2028. Boeing had requested this exemption in December 2025 and February 2026, citing strong customer demand for the 777F, currently the only large widebody freighter in production, and delays in the certification and entry into service of its more fuel-efficient successor, the 777-8F. The FAA's decision addresses a projected shortage of widebody freighters and allows operators to acquire new, more efficient cargo aircraft until the 777-8F is introduced. The exemption takes effect on January 1, 2028, and applies to the issuance of initial certificates of airworthiness for up to 35 777Fs until January 1, 2031. This aligns with a previous congressional decision in 2024 that exempted Boeing's 767 freighter from similar 2028 efficiency rules through 2033. (Source: Cirium, Reuters)

Our view: *This is a modest negative for Airbus, as the exemption extends the 777F's commercial life and allows Boeing to meet near-term demand before the delayed 777-8F enters service, potentially weighing on the A350F order outlook. The decision could be seen as somewhat unfair, as it accommodates Boeing's delays in developing next-generation platforms. That said, the exemption reflects an expected shortage of large widebody freighters, highlighting continued tightness in cargo-aircraft supply. This supports the commercial rationale for permitting up to 35 additional deliveries through 2030. For Airbus, the positive is that the waiver is capped and primarily serves to bridge a temporary availability gap, while the A350F remains positioned as a more efficient next-generation aircraft. Nevertheless, 35 additional freighters represent a meaningful volume in the cargo-aircraft market.*

Ariane 6 technical issue could disrupt 2026 launch schedule

Arianespace and ArianeGroup are conducting supplementary checks on a specific component among the 300,000 parts of the Ariane 6 rocket, leading to adjustments in the heavy launcher's 2026 mission schedule. While the companies maintain their ambition to achieve seven to eight launches in 2026, the exact final count remains unconfirmed as they prioritize launcher reliability. To date, Ariane 6 has demonstrated strong operational performance with nine successful flights, including one in July 2024, four in 2025, and four in 2026. Arianespace remains on track to reach its target of nine to ten launches by 2027. (Source: La Tribune)

Our view: *This can be seen as a negative for the Ariane as additional component checks make the seven-to-eight-launch target for 2026 increasingly difficult and could delay near-term revenue and production efficiencies. Prioritising reliability is appropriate given Ariane 6's early ramp, but achieving nine to ten launches in 2027 now depends on resolving the issue quickly and avoiding a backlog of delayed missions. This should not have any impact on component supplier revenue recognition, such as OHB's.*

Boeing's increase of 737 MAX output is taking longer than expected, sees 777X tests spilling into 2027

Boeing CEO Kelly Ortberg announced on 16 September that stabilizing the 737 MAX production rate at its target of 47 jets a month is taking "longer than expected," primarily due to challenges in speeding up wing production. The certification of the largest 737 MAX variant, the 737-10, which accounts for approximately 30% of all 737 orders, is expected "very soon," though several years behind schedule. Furthermore, testing for the 777X model is now expected to spill into 2027, though deliveries are still projected to begin next year, with delays attributed to a pending seal certification on the GE Aerospace turbine engine. Ortberg also downplayed expectations of a large jetliner order from China during an upcoming political summit, stating that future orders from Chinese airlines would be announced at their own pace. (Source: Reuters, Bloomberg)

Our view: *The issues are Boeing -specific, hence no negative read-across to Safran itself, but possibly lower Leap1B volumes (traditionally coming with better relative margins than Leap 1A). The 737 production bottleneck is currently wing manufacturing rather than LEAP-1B availability, with Boeing indicating that CFM and the wider supply chain can support the planned rate increase. This reduces concern that engine deliveries are constraining the programme, but the slower stabilisation at 47 aircraft per month delays LEAP-1B deliveries and related aftermarket. Certification of the 737-10 would be an important positive, although the timing remains uncertain. For Airbus, Boeing's slower ramp and continuing 777X certification work are competitively supportive, but Airbus remains constrained by its own supply chain and has limited near-term capacity to capture displaced demand, if any. The 777X update also increases execution risk around 2027 deliveries, particularly as extended-range testing cannot begin until the GE9X mid-seal certification plan is completed.*

Taiwan's Eva Air Eyes Buying More Airbus, Boeing Widebody Jets

Eva Airways is considering an order for approximately two dozen large passenger jets from Airbus and Boeing to modernize and expand its fleet, specifically seeking replacements for its Boeing 777-300ER aircraft, which constitute nearly a third of its 89-plane fleet. This potential agreement would build upon previous orders for about three dozen twin-aisle jets placed between 2023 and last year, with deliveries for the new order anticipated to begin in the mid-2030s. A final decision is expected in the coming months, though the airline could opt against the order. (Source: Bloomberg)

Our view: *This creates a meaningful opportunity for Airbus, but remains an early competition with no assurance of an order. Since EVA operates or has ordered both Airbus and Boeing widebodies, we view Airbus as a credible beneficiary rather than the clear favourite. Eva currently has an order for 24 A350-100, 188 A321Neo and operates 27 Airbus aircraft*.

Airbus opens a delivery centre in Toulouse to accelerate the A321neo rollout

Airbus has inaugurated a new delivery centre at its Jean-Luc Lagardère site in Toulouse to double the production rate of single-aisle aircraft, particularly the A32neo. This facility, originally built for the A380, has been entirely redesigned and modernized to support the A321neo, which has a strong order book. The new centre adds sixteen aircraft positions, doubling the previous capacity, and includes a dedicated hall for technical adjustments and finishes to streamline pre-delivery operations. This expansion follows the launch of the first A321 assembly line in 2023 and a second in June, aiming to expedite the assembly, commercial outfitting,

and flight readiness of the A321s. (Source: La Tribune)

Our view: *This is positive for execution but does not itself double A321neo production. The facility doubles available delivery positions from eight to 16 and combines technical adjustments, finishing, customer acceptance and customs processes close to the two Toulouse final-assembly lines. This should reduce the risk of completed aircraft accumulating after assembly and improve cash conversion as output and delivery rise. The centre supports the target of reaching 70-75 A320-family aircraft per month by end-2027, but the principal production constraints remain engines and other supplier inputs rather than delivery-centre capacity for now.*

AirBaltic files for Chapter 11 and plans to cancel or defer Airbus deliveries

AirBaltic has voluntarily filed for Chapter 11 bankruptcy protection, securing €350 million financing to restructure its debt and survive a deepening sector-wide crisis exacerbated by the Iran war. AirBaltic, which has $583 million in funded debt and finance lease liabilities, plans to cancel or defer an outstanding $3.5 billion order for 40 Airbus planes and $106.7 million in Pratt & Whitney engines. With flights operating as scheduled, CEO Erno Hilden, who previously guided SAS through Chapter 11, expects the process to conclude by June next year, aiming for a healthier financial structure, though the airline's original ambition of a 100-plane fleet is no longer viable for its current market. (Source: Reuters)

Our view: *This is a negative read-across for Airbus, but the impact on profitability remains manageable: AirBaltic plans to cancel or defer up to 40 A220 deliveries as it reduces its fleet ambitions. This represents 7% of the current A220 order backlog, but order profitability was expected to be negative. Airbus should be able to remarket most delivery positions given continuing demand, possibly with better profitability, but this sounds less "obvious" than on the A320. The broader concern is that elevated fuel prices are beginning to expose weaker airline balance sheets, potentially leading to further deferrals. This currently looks customer-specific rather than a change in overall demand, but we will be watching the situation closely.*

Airbus sees no softening in demand despite geopolitical headwinds

Despite global geopolitical and supply chain challenges, Airbus reports sustained demand and a strong readiness to take aircraft deliveries, in the Asia-Pacific and Middle East regions too. According to the planemaker's 2026–2045 market forecast, approximately 42,000 new aircraft will be required globally over the next 20 years, with the fast-growing Asia-Pacific region accounting for 45% of these deliveries. Within the region, China remains Airbus's largest single commercial market, projected to require 8,830 new passenger jets over two decades to clear a significant post-pandemic fleet renewal backlog. However, traffic growth rates are diverging; Airbus upgraded India's domestic traffic growth forecast to 9.3% (up from 8.9%), solidifying its status as the world's fastest-growing air travel market, while lowering China's projected growth rate to 4.7% (down from 5.4%), alongside a broader regional requirement of 6,880 aircraft for the rest of Asia-Pacific. (Source: Cirium)

Our view: *This is supportive of Airbus's long-term demand outlook, but the forecast should be distinguished from near-term order intake and delivery execution. Asia-Pacific is expected to account for 19,120 aircraft, or 45% of global demand through 2045, with approximately one-third required for replacement and the remainder supporting fleet growth. India's upgraded traffic outlook is particularly positive given*



Airbus's strong market position and large local airline backlogs. The reduction in China's growth forecast however, reflects a more mature market and structural competition from high-speed rail rather than weaker airline demand alone, which led to the recent reduction in China's narrowbody forecast by nearly 500 aircraft over 20 years. Given that COMAC's C919 production ramp has lagged initial expectations, the revision should not materially affect Airbus's short-to-medium-term production scaling.

BAE Systems (Hold, PT: 2,325p)

US approves Saudi Arabia to buy 48 F-35A fighters

U.S. has approved a potential $24 billion sale of Lockheed Martin F-35 Lightning II fighter jets to Saudi Arabia, marking a major policy shift that could alter the Middle East's military balance. The proposed package, which awaits congressional approval, includes 48 of the advanced stealth aircraft, constituting two squadrons, and 49 Pratt & Whitney engines. While the Saudi embassy welcomed the deal as a step toward modernizing its air force to counter regional threats from Iran, the sale tests Washington's commitment to maintaining Israel's "qualitative military edge" as the sole regional operator of the F-35. Furthermore, the transaction may face scrutiny in Congress, where lawmakers have historically voiced concerns over military cooperation with Riyadh. (Source: Reuters)

Our view: *We see this as negative for BAE Systems, as the order quantity matches the widely expected top-up order for 48 additional Eurofighter Typhoons. This could potentially reduce the likelihood of BAE Systems securing the second batch of Typhoon orders.*

MBDA Successfully Validates New Teseo Mk2/E Anti-Ship Missile for Italian Navy

MBDA has successfully completed the validation launch of its new Teseo Mk2/E anti-ship missile system for the Italian Navy, marking a key milestone in its multi-year development program. The test involved an approximately 20-minute piloted cruise flight, successfully validating the missile's range and overall design. This follows an earlier firing in 2024 that validated new missile components and aerodynamics, paving the way for the program to swiftly enter the production phase with the first delivery targeted for 2028. The Teseo Mk2/E program was launched in 2021 with a contract for development, integration, and qualification, followed by a production contract in 2025. (Source: Naval News)

Our view: *This is positive and paves way for the Teseo Mk2/E's planned first delivery in 2028. The latest firing validated the missile's range and overall system design, improving confidence in the transition to manufacturing and revenue recognition. Teseo Mk2/E is intended for several Italian surface-combatant classes, including PPA, FREMM, Horizon, future DDX and FREMM EVO vessels, creating meaningful recurring production and support potential.*

UK 'actively' exploring joining Canada-led global defence bank

The UK is seriously considering joining the Canada-spearheaded Defence, Security and Resilience Bank (DSRB), despite previously sidelining the initiative under Sir Keir Starmer's administration. Prime Minister Andy Burnham and Defence Secretary Wes Streeting have discussed and praised the DSRB, which aims to provide "long-term, low-cost financing" for defence initiatives. The DSRB, modelled after the World Bank, has financial backing from major banks, and its



establishment was announced by Canada, Albania, Belgium, Greece, Latvia, Luxembourg, Romania, Turkey, and Ukraine in July at a NATO summit. UK officials believe joining could help the UK reach its goal of spending 3% of GDP on defence by 2030 and foster international cooperation, though no final decision has been made. The UK remains committed to its own Multilateral Defence Mechanism (MDM), a £400 million initiative focused on procurement and stockpiling, with the Netherlands, Poland, and Finland also participating. Some UK government figures suggest the DSRB and MDM could potentially merge or, more likely, complement each other as distinct entities performing different roles. (Source: Bloomberg)

Our view: *This further demonstrates that financing has become the focal point of efforts to increase UK defence spending to 3% of GDP. The broader defence financing infrastructure is being progressively put in place to support further acquisitions. Greater participation can only strengthen the scheme.*

Frigate work at risk without enough skilled workers

A report by the Scottish Affairs Committee warns that the Scottish naval shipbuilding sector faces significant challenges in meeting the projected demand for highly skilled workers, particularly for the Type 26 and Type 31 frigate programs and the Dreadnought-class submarines. Despite a £10 billion agreement to supply Norway with Type 26 frigates expected to support 2,000 jobs at BAE's shipyards in Glasgow and another 2,000 roles across the UK maritime supply chain until the late 2030s, the current training levels are insufficient to provide the necessary workforce. The committee emphasizes that while increased defense spending offers the prospect of expanding highly skilled jobs in Scotland, inconsistent funding and stop-start procurement weaken sovereign capability and workforce retention. (Source: UK Defence Journal)

Our view: *Workforce availability is increasingly becoming the binding constraint in Defence when demand surges. The positive is that the UK and Norwegian Type 26 programmes provide workload into the late 2030s, giving visibility to hire. Insufficient workforce could constrain production rates, delay milestones and create wage and training-cost pressure. BAE already employs around 4,000 people at its Glasgow shipyards. Our understanding has always been that BAE has prepared itself for this next phase of growth, with sustained apprenticeship levels.*

Japan said to mull raising defence spending to 3.5% of GDP

Japan is reportedly considering a new mid-term defense spending target of 3.5% of GDP, mirroring commitments by NATO allies and South Korea, a significant increase from its current 1.9% for FY2026. This move, championed by Prime Minister Sanae Takaichi, aims to reduce reliance on the US military and align with the 3.5% global benchmark for defence spending, however a lower, 3% target is also being discussed. If adopted, this would more than double Japan's current defence outlay, potentially unsettling financial markets due to concerns about increased government debt. While US defence officials are encouraging increased investment, some Japanese officials remain cautious about publicly committing to such a target, citing financial implications and the need to monetary goals over prioritize military needs. The proposed increase would further fund long-range strike capabilities, building on the ¥8.9 trillion budget requested for the next fiscal year. (Source: Bloomberg)

Our view: *This is potentially positive for BAE and Leonardo through GCAP, as a larger Japanese defence budget would improve development funding, procurement capacity and support for the wider combat-air ecosystem. Beyond GCAP, higher*



spending should favour stand-off weapons, integrated air and missile defence, autonomous systems, maritime surveillance and military space, creating possible opportunities for Thales, Hensoldt, Safran and Leonardo through sensors, guidance, communications and electronics. The Japanese Defence market remains, however , tough to penetrate for European suppliers, because Japan generally prioritises domestic industry and US systems. The 3.5% target also remains under discussion and faces material fiscal constraints, so the next national-security strategy and funded procurement plan will be more important than the headline percentage.

CSG (Buy, PT: €25)

Fire Reported at CSG Ammunition Plant in Slovakia

CSG confirmed news regarding a fire at one of its plant in Slovakia. The company said the fire at ZVS Holding's plant in Eastern Slovakia had brought the affected facility to a temporary standstill, though no impact was expected on its overall ability to meet orders. The blaze, thought to have been caused by repair work on a roof, has been brought under control now. The extent of the damage, as well as the cause of the fire will be assessed as part of a further investigation. (Source: Bloomberg)

Our view: *This is not positive news. While the company expresses confidence in its ability to meet orders, if the plant closure extends for weeks, it could have impact on overall ammunition production as the plant in Snina primarily makes metal bodies for 155mm artillery ammunition.*

Slovak defence minister Kaliňák confirms his firm received payments from Czechoslovak Group

Slovak Minister of Defence Robert Kaliňák has confirmed that his company, Kallan Consulting, received payments until 2023 from Army Trade, an entity linked to CSG. This admission follows media scrutiny, particularly from Czech online news outlet Seznam Zprávy, which reported on Kallan Consulting's lobbying activities for Tatra in the United Arab Emirates. Slovak media have criticized this as a major conflict of interest, especially since Kaliňák, as Minister of Defence, subsequently signed a contract exceeding €1bn involving Tatra. (Source: Bloomberg)

Our view: *This is a developing story, which could have a negative reputational impact on the name, hence a watch item for the stock if allegations are confirmed.*

Hensoldt (Buy, PT: €105)

Germany, US sign agreement to deepen defence cooperation between industries

German Defence Minister Boris Pistorius and U.S. Defense Secretary Pete Hegseth signed a letter of intent on 15 September to deepen cooperation between their respective defence industries, aiming to bolster weapons manufacturing capabilities. While specific details, including Germany's planned purchase of Tomahawk cruise missiles, are still being negotiated, Pistorius emphasized that this collaboration seeks to achieve a better balance between the allies and leverage increased defence industrial capacities. (Source: Reuters)

Our view: *This is politically supportive but has mixed implications for German defence companies, as the agreement could direct a larger share of Germany's expanding defence budget towards US-origin systems. German suppliers would benefit if*



cooperation includes substantial local production, licensed manufacturing, systems integration, maintenance and technology transfer, with potential opportunities across sensors, vehicles, propulsion, naval systems and military space. However, direct imports, including the prospective Tomahawk purchase, could crowd out European alternatives and limit domestic value capture. Hensoldt stands out as the main beneficiary in any case, thanks to its ESG entity.

Kongsberg Gruppen (Buy, PT: NOK 360)

Germany set to buy JSM missiles for P-8A fleet

According to sources, the German Navy's P-8A Poseidon maritime patrol aircraft are set to receive Joint Strike Missile (JSM) armaments this year, enabling them to engage both ground and surface targets at long ranges. Germany has ordered eight P-8A Poseidons from Boeing, with the first delivered in October 2025, and there is an additional requirement for at least four more aircraft of this type. The JSM is a 400 kg air-to-surface missile with stealth features and a 120 kg high-explosive warhead, capable of striking targets over 350 km away (up to 560 km according to the German Air Force), and is designed to overcome advanced air and missile defense systems. The JSM is also being procured as an armament option for the Bundeswehr's F-35A aircraft. (Source: Hartpunkt)

Our view: *This is quite positive for Kongsberg which manufactures the JSM missiles. JSM are primarily used only in F-35s. The P-8A is a maritime patrol aircraft and if JSM is selected, it would a new platform where JSM missiles would be integrated. Considering Germany could have 12 of these aircraft in the long term, it could order >100 JSMs (including inventory) which could be worth $350-400m for Kongsberg. Also, Germany would be the first country to integrate JSM in both its F-35s and P-8s, opening the possibility for other countries with similar fleet to also consider JSMs.*

Leonardo (Buy, PT: €72)

ESA picks Leonardo, Iceye teams for Earth Observation Studies

Leonardo, through a fully funded contract from the European Space Agency (ESA), will lead one of two parallel architectural studies to define the future EU Earth Observation Governmental Service (EOGS). This initiative aims to create a key capability for harnessing space data to support Europe's autonomous decision-making in security and defence. Leonardo's study will leverage expertise from Telespazio, Thales Alenia Space and a network of European partners to design a sovereign, resilient, and federated end-to-end Earth Observation architecture, covering the entire value chain from space systems to data processing. The project will assess current capabilities, identify gaps, and evaluate architectural solutions, with a central focus on integrating existing and future European assets into a unified system. (Source: La Tribune)

Our view: *This is strategically positive but financially immaterial at the study stage. Leonardo, Telespazio and Thales Alenia Space gain an opportunity to shape the future EOGS architecture and compete for satellites, payloads, ground systems and data services, although the parallel ICEYE-led study means no incumbent position is guaranteed and ICEYE could be considered strategically positioned too, given its recent wins.*

IDV selected for U.S. Army autonomous breaching trials

Leonardo, through its subsidiary IDV USA, has been selected by the U.S. Army as



one of four industry participants in the Engineer Autonomous Breaching Capability (EABC) initiative. This program aims to develop autonomous systems that can breach complex obstacles and minefields under direct observation and fire, thereby minimizing risk to human personnel on the battlefield. IDV's proposed solution integrates its VIKING Uncrewed Ground Vehicle (UGV) with advanced ground autonomy software, allowing for rapid integration of mission systems, payloads, and navigation capabilities designed for contested and GNSS-degraded environments. (Source: ASDNews)

Our view: *This is strategically positive for Leonardo but financially immaterial at this stage. IDV USA is one of four participants and the selection does not represent a production decision or commitment to field VIKING. Nevertheless, it provides an entry point into a potentially meaningful US Army autonomy programme and validates IDV's expansion from conventional military vehicles into uncrewed and software-enabled systems*.

MTU Aero Engines (Buy, PT: €435)

FAA proposes PW1500G and PW1900G compressor inspections

The FAA has proposed a new airworthiness directive covering certain Pratt & Whitney PW1500G and PW1900G geared-turbofan engines, which power the Airbus A220 and Embraer E2 families. The proposal follows six reports of contact between high-pressure compressor rotors and variable stator vanes, caused by wear in the vane bushing assembly. If unaddressed, the condition could lead to rotor failure, an uncontained parts release, aircraft damage or loss of control. Operators would need to perform initial and recurring borescope inspections for signs of wear, scratching or contact, removing affected rotors where damage is found. Replacing the relevant variable-stator-vane bushing set during maintenance would end the recurring inspection requirement. The proposed directive could increase maintenance requirements and affect engine availability, although it remains a proposal rather than a final rule. (Source: FlightGlobal)

Our view: *This is a slight negative for MTU and introduces an additional maintenance requirement just as availability of the A220 and E2 GTF variants had begun to improve. Wear in the variable-stator-vane bushings can allow contact with the high-pressure compressor rotor, potentially requiring rotor replacement where damage is identified. However, the proposed directive affects certain compressor modules, initially requires borescope inspections rather than immediate engine removals, and provides a terminating fix through replacement of the bushing set during maintenance. With only six reported events and the rule still at the proposal stage with the proposal covering an estimated 215 engines on US-registered aircraft, it is too early to assume material additional groundings or a financial impact. In comparison to the most recent grounding campaign linked to the "powdered metal" contamination issue, this event looks more contained.*

Airlines urge more competition on used jet engine parts

The International Air Transport Association (IATA), representing around 300 airlines, is intensifying calls for jet engine manufacturers to facilitate broader access to reconditioned parts for independent firms. This demand follows a recent European Commission antitrust settlement in which Pratt & Whitney Canada, the primary turboprop engine maker, agreed to lift restrictions on the supply of used engine sections and certification services for its turboprop engines. While this benefits turboprop operators, IATA argues the "gold" is in the main jet engine

markets, where parts shortages and labor issues persist, costing airlines an estimated $6 billion last year. IATA views the expanded use of reconditioned parts as a crucial step to alleviate widespread engine delays, which are projected to continue for several years. (Source: Reuters)

Our view: *This is a longer-term risk to engine aftermarket pricing but not an immediate change to forecasts. The European settlement applies only to Pratt & Whitney Canada's PW100 and PT6 turboprops, where MTU has limited programme exposure. However, IATA is explicitly seeking to extend the principle to larger jet engines, which could increase independent access to used serviceable material and approved repairs. Greater competition could ease capacity bottlenecks (parts shortage is a major issue at the moment), but may also dilute pricing, parts capture and long-term service margins. Safran's existing aftermarket agreement with IATA provides some precedent for a managed solution. Overall, this is a watch item, with the greatest potential risk to highly controlled, long-duration aftermarket models if European authorities launch broader investigations.*

Wizz Air chief extols benefits of the GTF 'when it flies'

Speaking at the ISTAT Europe conference, Wizz Air CEO Jozsef Varadi defended the long-term technological advantages and fuel-burn efficiency of the Pratt & Whitney GTF engine over CFM's Leap, despite severe reliability issues. Varadi estimated that the global engine crisis, initially projected to last 12 to 18 months, will likely persist for four to five years across the industry, though Wizz Air expects to fully restore its grounded fleet in coming 18 months as it transitions entirely to A320neo-family jets. To mitigate the grounding of large portions of its fleet, the carrier deployed substantial capital to expand its spare engine inventory from 30 to 40 units to nearly 100. Additionally, GTF performance challenges in harsh climates forced the airline to scale back planned A321XLR operations in the Middle East. (Source: Cirium)

Our view: *The comments provide qualified support for the GTF's underlying technology but reinforce the duration and severity of its operational disruption. Wizz continues to value the engine's fuel-efficiency advantage, which supports customer retention and MTU's long-term installed-base opportunity. However, management's expectation of restoring the grounded fleet within 18 months implies approximately March 2028, modestly later than its previous end-2027 target, although this may reflect rounding rather than formal guidance slippage. Wizz's decision to reduce planned A321XLR operations in the Middle East also highlights the GTF's operational challenges in hot-and-harsh environments, although the A321XLR's payload and runway-performance trade-offs under such conditions are already broadly understood.*

OHB (Buy, PT: €275)

US admission of orbital weapons seen as landmark moment for space militarization

The U.S. officially acknowledged the operation of weapons in Earth's orbit, confirming the presence of "on-orbit weapons" designed to defend against space-enabled attacks, marking a significant shift in transparency regarding space militarization. This admission, aimed at deterring aggressive orbital activities from China and Russia, represents an increasing comfort level within the U.S. government to discuss such capabilities, moving from past silence to outright statements of having weapons in space. While the specific types of weapons remain undisclosed, this heightened preparedness for space conflict comes as

countries like China demonstrate capabilities such as grappling and moving satellites, and the U.S. conducts large-scale orbital exercises, all while Germany plans a €35-billion military space spending to counter growing threats. (Source: Reuters)

Our view: *This is a strategically important demand signal rather than an immediate contract catalyst. The US acknowledgement changes the public policy framework around counter-space capabilities and is likely to accelerate investment in protected satellites, space-domain awareness, resilient communications, electronic warfare and rapid replacement launch capacity. OHB has the clearest European read-across through German military constellations and its exposure to launch and surveillance programmes, while Airbus, Thales and Leonardo should benefit from secure communications, sensors and satellite protection. Kongsberg Gruppen could benefit through space surveillance, ground infrastructure and its broader satellite-services exposure. However, the disclosed US capability remains unidentified and may consist of electronic or reversible effects rather than destructive weapons, so company-specific content cannot yet be assigned.*

Isar Aerospace plans to more than double capacity in 2028, ISR launches to grow fourfold in next decade

Isar Aerospace plans to more than double its launch capacity by 2028, with all 2028 capacity already contracted for, responding to surging demand for access to space, particularly for satellite deployments in low Earth orbit. The company anticipates needing nearly 200 Spectrum-class vehicles by 2028 and has signed an agreement for five dedicated Spectrum launches between 2028 and 2030 with U.S. firm SEOPS. This comes as the industry consultancy Novaspace forecasts a more than fourfold increase in defence-owned intelligence, surveillance, and reconnaissance (ISR) satellites, from 485 launched in the decade leading up to 2025 to 2,306 between 2026 and 2035. Government budgets for space defence are expected to rise significantly from $74 billion last year to $121 billion in 2028, with over 55 countries having such budgets. Novaspace also predicts the number of operational systems in space could jump fivefold to between 50,000 and 100,000 by 2036, leading to $61 billion in global spending on space situational awareness (SSA) between 2025 and 2034, with defence programs accounting for $52 billion of that total. (Source: Reuters, DefenseNews)

Our view: *This bodes well for Isar Aerospace. The high level of demand for space launches could also be seen as a positive indicator for both OHB and its RFA entity, whose first flight is now eagerly awaited.*

Rolls-Royce (Buy, PT: 1,705p)

US Air Force to advance B-52 engine and radar upgrades with additional test aircraft

The U.S. Air Force will dedicate two additional operational B-52 bombers to testing the aircraft's engine and radar upgrades. The aircraft will be modified concurrently at Boeing's San Antonio facility, helping expand the test fleet after a radar-programme aircraft was lost in a June accident. The Commercial Engine Replacement Program, which will replace the B-52's ageing TF33 engines with Rolls-Royce F130s, received Milestone B approval in June 2026 and has entered engineering and manufacturing development. The radar programme received Milestone C approval in August, allowing low-rate initial production of Raytheon's new radar. Together, the upgrades form the B-52J configuration and are intended



to improve reliability, electrical capacity and sensor performance, enabling the bomber to remain operationally relevant through 2050 and beyond. (Source: FlightGlobal)

Our view: *This is positive for Rolls-Royce and represents a meaningful programme de-risking after earlier delays. Milestone B establishes the first formal acquisition baseline and moves the F130 re-engining programme into engineering and manufacturing development, while two additional aircraft increase test capacity and allow concurrent engine and radar integration. This improves visibility for the existing F130 contract and future production across the 76-aircraft fleet. The contract is seen as being margin-accretive, but is already included in the guidance, hence not incremental to current expectations.*

Emirates below pre-crisis capacity while Etihad Airways says passenger numbers have rebounded from Iran war impact

Gulf carriers Emirates and Etihad are steadily recovering from regional flight disruptions caused by the conflict in Iran earlier this year, reporting positive bookings for the upcoming winter season despite a trend toward shorter booking windows. Operating at 93% of its pre-disruption capacity, Emirates carried 8.6 million passengers during July and August, as demand for premium travel remains comparatively robust. Meanwhile, Etihad's capacity has surged 15% to 17% higher than last year, boasting a 92% load factor in August, targeting an 87%-plus load factor for the remainder of the year. Both airlines are funding aggressive fleet upgrades to support network expansion. (Source: Reuters, Cirium)

Our view: *This is an encouraging demand recovery, but capacity and financial performance have not fully normalised. Emirates operating at 93% of pre-disruption capacity indicates that widebody flying hours are recovering, which is positive for Rolls-Royce's aftermarket exposure. Etihad's figures are equally encouraging in a conflict environment that has first improved and then degraded again. However, shorter booking windows suggest continuing geopolitical sensitivity, suggesting the recovery still remains vulnerable to renewed regional disruption and elevated fuel prices.*

Safran (Buy, PT: €398)

GE Aerospace confident GE9X mid-seal issue will not delay Boeing 777X entry into service, says CPP deal not a blueprint for broader integration

GE Aerospace CFO Rahul Ghai expressed confidence that a durability issue with the GE9X engine's mid-seal will not delay the Boeing 777X's planned entry into service next year. The company identified the root cause of the mid-seal issue in February and has since redesigned the part, shipping engines with the new seal to Boeing, with FAA certification for the redesigned part expected in the coming months. Separately, Ghai clarified that GE Aerospace does not foresee broad vertical integration as the solution to aerospace supply-chain constraints, despite its recent $11.75bn acquisition of CPP. He described the CPP deal as a "unique situation" intended to improve CPP's delivery performance and expand production, rather than a broad vertical integration strategy. Ghai also noted a 50% rise in GEnx engine deliveries in Q2, with further growth expected in Q3, and projected a lower retirement rate of 1.5% to 2% for CFM56-powered aircraft this year. (Source: Reuters, Bloomberg)

Our view: *This is incrementally reassuring for the 777X schedule but does not*



eliminate programme risk. Some 777X testing is already expected to continue into 2027, leaving limited contingency around first delivery next year. For Airbus, the outlook is modestly negative competitively, although the repeated delays continue to support the A350's maturity advantage. Separately, the higher growth expected in GEnx deliveries in Q3 is directly positive for MTU through its 6.7% programme share while the lower expected retirement rate for CFM56-powered aircraft forecast supports continued utilisation and aftermarket demand for the fleet.

Lufthansa Group orders 20 Boeing 737 MAX 10 aircraft

Lufthansa Group has converted 20 Boeing 737 Max options into firm orders for the 737 Max 10 variant, maintaining its existing order for 40 Max 8s. The Max 8s are scheduled for delivery from the third quarter of 2027, while the Max 10 deliveries are anticipated to commence in the early 2030s, intended to progressively replace older Airbus A320-family aircraft across the group. (Source: Cirium)

Our view: *This is positive for Safran, although it converts existing options rather than creating wholly new demand and deliveries only begin in the early 2030s. It also confirms the imminence of the B737Max-10 certification. For Airbus, it is a modest competitive negative because the aircraft will replace older A320-family jets, but 20 aircraft do not signal a wider fleet shift and Lufthansa Group retains substantial Airbus exposure.*

American, United, Southwest scale back schedules as fuel shock reshapes flying

American Airlines, United Airlines, and Southwest Airlines are reducing their planned flight schedules, particularly for late 2026 and potentially into 2027, in response to a recent surge in fuel prices. American Airlines estimates the latest fuel price jump alone adds approximately $1 billion to its fourth-quarter costs. United Airlines has cancelled some December flights and may make further adjustments if fuel costs remain high, while Southwest Airlines has already halved its planned 2026 capacity growth. Despite these cuts, executives report strong and resilient travel demand, allowing them to offset much of the increased fuel expense through higher fares, albeit with a lag. However, the sustained high fuel costs are forcing airlines to prioritize profitability and remove less-profitable routes, impacting their capacity plans. (Source: Reuters)

Our view: *This is a negative near-term read-across because fuel pressure is translating into actual capacity reductions despite demand. Lower flying means fewer engine cycles and hours, delaying spare-parts consumption, shop visits and other MRO activity. Safran and MTU are most directly exposed through the large US narrowbody fleet. The cuts also increase the risk that airlines moderate fleet growth or seek delivery deferrals, although current actions appear focused on removing marginal routes rather than reducing core fleet requirements. Longer term, high fuel prices continue to favour replacement of older aircraft with more efficient platforms and engines, but the immediate consequence could be lower capacity and softer aftermarket utilisation. At this stage , this does not transpire neither in engine makers communication nor in the reported figures and updated guidance. This is likely to become a pressing Q3 topic.*

Boeing close to salvaging deal for 150 Turkish Airlines 737 MAXs after CFM engine dispute, finalizes Korean Air order for 103 aircraft

Boeing is nearing finalization of a long-delayed order for 150 737 MAX jets from Turkish Airlines, following a dispute over engine maintenance with CFM. This deal, part of a larger package announced a year ago, was complicated by Turkish Airlines'



demand for an industrial agreement on engine maintenance, including a "Premier" plant for 737 MAX engines. The confirmation is expected next week, potentially coinciding with a meeting between Turkish President Erdogan and US President Trump at the UN General Assembly. Separately, Korean Air has finalized a $36.2 billion order with Boeing for 103 aircraft, including 20 777-9s, 25 787-10s, 50 737-10s, and eight 777-8 Freighters. This order also encompasses an $8.6 billion deal for 21 spare engines from GE and CFM, along with a 15-year maintenance agreement for 28 aircraft, aiming to support fleet expansion post-Asiana Airlines integration and improve fuel efficiency. (Source: Reuters)

Our view: *This is positive for Safran, although neither transaction represents entirely new demand. The Turkish Airlines commitment, comprising 100 firm 737 MAX aircraft and 50 options, was announced in September 2025 but remained conditional on reaching an agreement with CFM. The dispute is understood to have centred on engine pricing, allocation of long-term repair-cost risk and the airline's request to establish a Premier-class LEAP-1B maintenance facility with accelerated access to repair technology. Resolution would secure a substantial LEAP-1B installed base and future spare-parts demand, although granting greater in-house MRO capability could transfer some shop-visit economics to the airline. It remains unclear whether the Premier facility itself has been approved. The Korean Air transaction is a firming of the 103-aircraft commitment announced in August 2025, rather than a new order, but includes 50 additional LEAP-1B-powered 737-10s, spare engines and long-term maintenance.*

Honeywell Aero CEO calls planned GE Aerospace-CPP deal positive for industry

Honeywell Aerospace's CEO, Jim Currier, expressed a positive outlook on GE Aerospace's planned $12 billion acquisition of CPP, viewing it as beneficial for the industry despite not directly competing with CPP. Currier indicated that Honeywell Aerospace is actively pursuing opportunities to re-internalize previously outsourced manufacturing capabilities, especially through "bolt-on M&As" to address persistent supply chain bottlenecks in the aerospace sector. Honeywell Aerospace has seen a 30% increase in output over the past 30-45 days by deploying its own skilled workers to supplier factories, enabling additional shift operations. While progress has been made the industry continues to grapple with intractable choke points in casting and forging production, exacerbated by labour shortages post-pandemic. (Source: Reuters)

Our view: *This represents a positive read-across to Safran in our view, as it supports the company's strategy to internalise key parts of its production. As a reminder, its new turbine blade factory in Rennes, western France, scheduled to become operational in 2027, is expected to reduce the group's dependence on external blade suppliers. This new facility, Safran Turbine Airfoils, will manufacture blades for the civil LEAP and M88 engines. The CPP acquisition by GE follows the same logic.*

Future Ukrainian Gripens to be modified for Safran AASM weapons

France has confirmed that the 16 JAS-39 Gripen C/D fighter jets to be supplied by Sweden to Ukraine will be adapted to carry French-made AASM "Hammer" air-to-ground missiles, in addition to METEOR long-range air-to-air missiles. This development follows earlier adaptations of Ukraine's Soviet-era MiG-29, Su-27, and Su-25 aircraft to deploy AASM. While Ukraine is also receiving six Mirage 2000-5F aircraft capable of deploying AASM, and F-16s from various NATO allies, the F-16's AASM compatibility has not been explicitly confirmed. In a further commitment to Ukrainian defence, France recently agreed to allow Ukraine to



license-produce AASM, SCALP cruise missiles, and ASTER 30 interceptor missiles, and signed a roadmap for the delivery of 16 Rafale aircraft to Ukraine between 2027 and 2028. (Source: Opex360)

Our view: *This is strategically positive for Safran and expands the AASM Hammer's addressable installed base beyond French and Soviet-origin aircraft. Integration on the 16 Gripen C/Ds due from early 2027 provides a near-term operational reference, demonstrates the weapon's adaptability and could encourage adoption by other Gripen users. It confirms Safran's improved time to market, which has helped deliver capabilities to the battlefield faster than expected. As a reminder, the Hammer bomb integration on MiG-29 and Su-24/25 aircraft was carried out in less than 4 months. As for the roadmap for the delivery of 16 Rafale between 2027 and 2028, this is a new element that requires confirmation, as the order for 100 aircraft has not been subject to firm confirmation by Dassault and the lead time for the production of new aircraft appears too short.*

Thales (Buy, PT: €296)

2027 French budget presented, with Defence excluded from cuts

France's minority government has unveiled a draft budget with €54bn of savings aimed at reducing the fiscal deficit to 5% of GDP by 2027. The plan includes cuts to pensions and most government ministries, while defence spending is expected to be protected. The measures reflect weaker economic growth and rising borrowing costs, with debt interest payments projected to reach €65bn this year. (Source: Reuters)

Our view: *The read-across is positive for Thales, as defence appears excluded from the planned spending cuts. The "exceptional" corporate surtax is also widely expected to be extended into 2027. However, the budget faces significant political hurdles, and any government collapse would likely weigh on sentiment towards French equities.*

Thales unveils HexaForce, an AI-powered sovereign command-and-control system

Thales has launched HexaForce, an AI-enhanced multi-domain command and control (C2) system designed for high-intensity warfare, supporting over 100,000 personnel. Successfully tested during NATO CWIX 2026, HexaForce operates across all operational domains (land, air, sea, cyber, electromagnetic spectrum, space, and information operations) with a resilient, distributed architecture that orchestrates existing systems across national armed forces and coalitions to accelerate decision-making. Leveraging Thales' cortAIx AI accelerator, including LLMs and agentic AI, HexaForce aims to shorten planning cycles, enrich operational awareness, accelerate decision-making, and optimize maintenance. This system, drawing on feedback from the French Ministry of Armed Forces' Artemis.IA platform, is currently the only market solution capable of orchestrating assets from tactical to strategic levels, with an open, interoperable architecture, ensuring sovereign control and integration with third-party vendors. (Source: Company)

Our view: *This is strategically positive as the growing use of drones, sensors and AI-enabled targeting is increasing battlefield data volumes and the need for faster command decisions. HexaForce provides a sovereign European alternative to US platforms such as Palantir, allowing customers to retain control over sensitive*



operational data, algorithms and system configuration while remaining interoperable with NATO systems. This demonstrates Thales' ability to offer complex battlefield management systems. NATO CWIX testing validates interoperability rather than indicating procurement, making conversion into national or NATO contracts the key next milestone.

Exail reporting solid H1 results, with some cash consumption

Exail reported preliminary H1 results ahead of the full 24 September release, which has been pushed back due to the proposed acquisition of the company by Thales. The company indicated that work completed to date allows them to communicate these preliminary financial indicators with a high level of reliability: H1 EBITDA is expected to reach €63m , up approximately 43% year-on-year, while operating income is projected at €46m, representing a 61% increase. Cash generation in H1 was impacted by an increase in working capital of approximately €70m, driven by less favourable timing of invoicing and contract collections. However, significant cash inflows are expected in H2 (Source: Company)

Our view: *This is encouraging, as the solid Exail H1 financial performance will help justify the multiples paid on the transaction (Implied EV / 2027E EBIT post cost & revenue synergies of 20x)*

Thales Alenia Space wins NigComSat-2A telecommunications-satellite contract

Thales Alenia Space secured a contract with Nigeria's NIGCOMSAT to develop NigComSat-2A, a new geostationary telecommunications satellite. Weighing nearly 4 tons and built on the Spacebus B2 platform with an operational life exceeding 15 years, the satellite will provide reliable and secure communication services across West, Central, and Southern Africa. NigComSat-2A aims to enhance digital connectivity, deliver high-quality broadcasting, stable internet access to remote areas, and support modern digital applications. (Source: Company)

Our view: *This is positive for Thales and Leonardo, although the contract value and delivery schedule have not been disclosed. The use of the established Spacebus B2 platform should support more predictable economics than a clean-sheet satellite, while the nearly four-tonne size indicates a meaningful programme with platform and multi-band payload content. The award also strengthens Thales Alenia Space's position in the African government and commercial connectivity market and adds a fourth Spacebus B2 satellite to the platform backlog.*

TKMS (Buy, PT: €112)

TKMS awarded UK MOD Next Generation Countermeasure torpedo-defence contract

TKMS has been awarded a UK MoD contract for the Next Generation Countermeasure (NGCM) system, a crucial component of the Royal Navy's Underwater Defensive Aids Suite. This program will develop a torpedo countermeasure system for current and future Royal Navy submarines, utilizing a spiral development approach to ensure long-term operational relevance against evolving underwater threats. TKMS ATLAS UK will leverage its expertise in hydro-acoustics, sonar systems, underwater communications, and sensor engineering, as well as its established research capabilities. The company will collaborate with Babcock International Group, which will contribute its experience in

countermeasure launcher technology and platform integration for existing submarines. (Source: Naval News)

Our view: *The value of the contract is undisclosed, but this is positive news for TKMS. This is not a torpedoes (weapons) contract, so we expect the value of be lower. But more importantly this positions TKMS in the UK submarine market for the long term. We believe previously most of UK Navy's countermeasure systems were supplied by Ultra Maritime, and a shift of vendor to TKMS highlights their product strength too. This business will be part of Atlas electronics division at TKMS, the most profitable business within the group.*

From our stable

Below, we share links to some of our most recent and important publications on individual companies and the sector, for ease of reference.

Our recent reports

Exosens: FY26 guidance uplift and Q3 preview (18 September 2026)

Thales: Feedback from Management dinner (14 September 2026)

Theon International: Post H1 26 view, TP unchanged (11 September 2026)

Kongsberg Gruppen: Missile-led growth; initiate at BUY (10 September 2026)

Airbus: August deliveries seasonally in line (8 September 2026)

Leonardo: Continuity at the helm (13 August 2026)

Renk AG: Still rolling on (13 August 2026)

TKMS: Keeps getting better, TP up to €112 (13 August 2026)

MTU Aero Engines: Investment case intact post H1 results (12 August 2026)

Hensoldt: Still solid momentum in H2 and beyond (12 August 2026)

CSG: Strong H1, TP unchanged (11 August 2026)

BAE Systems Plc: Fair valuation reflecting a solid outlook, but some catalysts to watch (10 August 2026)

OHB: Finding its orbit (7 August 2026)

Renk AG: Q2-26 results: in line (6 August 2026)

Rolls-Royce: Momentum continuing to build beyond 2028 (4 August 2026)

Hensoldt: Q2-26 results: a beat on Q2 orders and revenues, FY26 guidance confirmed (31 July 2026)

Leonardo: Q2-26 results: Our first take (30 July 2026)

MTU Aero Engines: Q2-26 results: our first take (30 July 2026)

BAE Systems Plc: H1-26 results: a 4% beat on EPS, a strong FCF and guidance upgrade (30 July 2026)

Rolls-Royce: H1-26 results: a clear beat, with FY26 guidance upgrade (30 July 2026)

Fincantieri: Post H1 - more orders to come (30 July 2026)

Airbus: Positive Q2 results across the board (29 July 2026)

Safran: Still flying high on improved FY26 outlook (28 July 2026)

Exosens: H1 26 - first take (28 July 2026)

Safran: H1-26 results: a beat on EBIT and FCF, FY26 guidance raised (28 July 2026)

Theon International: H1 26 results - initial thoughts (27 July 2026)

Thales: Enhanced Visibility Underpins Buy Case (27 July 2026)

TKMS: Q3 FY26 preview and what next? (23 July 2026)

Thales: Better than expected H1-26 results, but DIS disappoints (23 July 2026)

Dassault Aviation: Better-than-expected H1-26 results, with Falcon orders finally bouncing (22 July 2026)

Airbus: A mid-term guidance, a €5bn buyback and a flight plan beyond 2029 (22 July 2026)

Theon International: H1 26 preview - Accretive deals... elevated leverage (20 July 2026)

CSG: Growing long-term concerns (16 July 2026)

Fincantieri: H1 preview and Underwater focus (16 July 2026)

Exosens: H1 26 preview - Steady (9 July 2026)

TKMS: Canada Submarine Deal Win (6 July 2026)

Sector/thematic reports

Aerospace and Defence: European A&D – 2026 outlook (13 January 2026)

European A&D – 2025 outlook (17 December 2024)

Flight quarters: Q1 24 – Back to the top (22 January 2024)

European A&D – 2024 outlook (8 December 2023)

European Defence: Lessons from Ukraine(12 April 2022)

Commercial Aerospace: No (jet)lag in competition (24 June 2021)

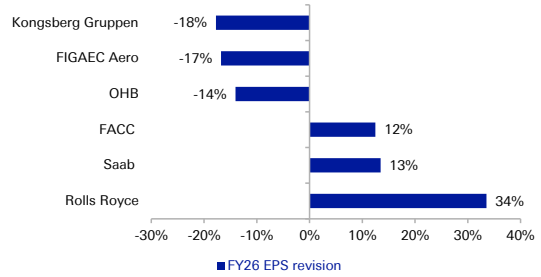
Aerospace & Defence: The Time is Now – Initiating on EU A&D with a constructive stance (10 February 2021)

EPS estimate revisions

EPS estimate revisions for European A&D stocks

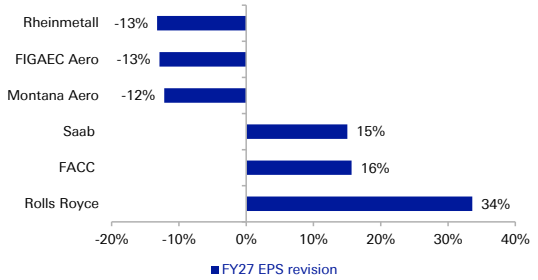
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for European Aerospace & Defence names since the start of 2026.

Figure 2: FY26E EPS change



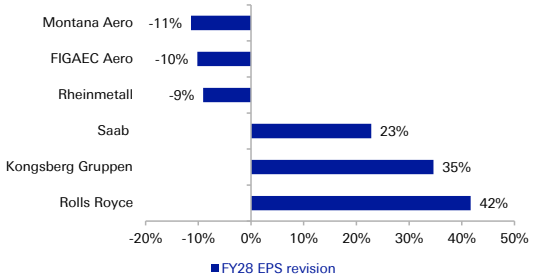
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 3: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 4: FY28E EPS change

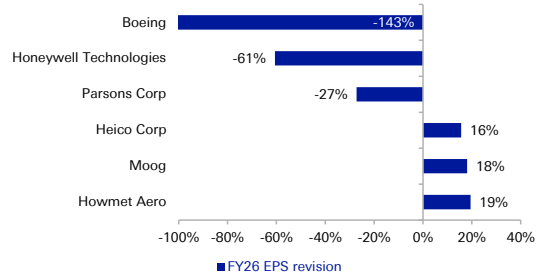


Source : Deutsche Bank, Bloomberg Finance LP

EPS estimate revisions for US A&D stocks

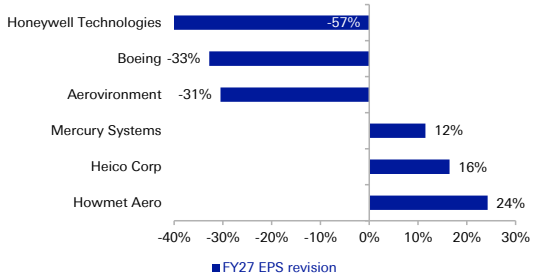
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for US Aerospace names since the start of 2026.

Figure 5: FY26E EPS change



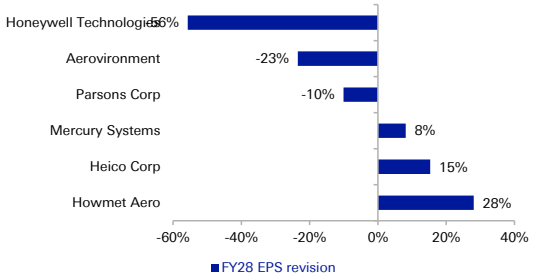
Source : Deutsche Bank, Bloomberg Finance LP

Figure 6: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 7: FY28E EPS change

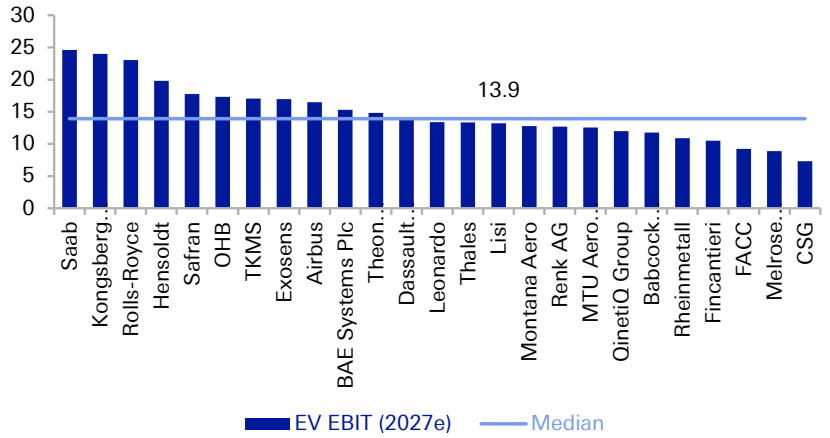


Source : Deutsche Bank, Bloomberg Finance LP

A&D stock trading multiples

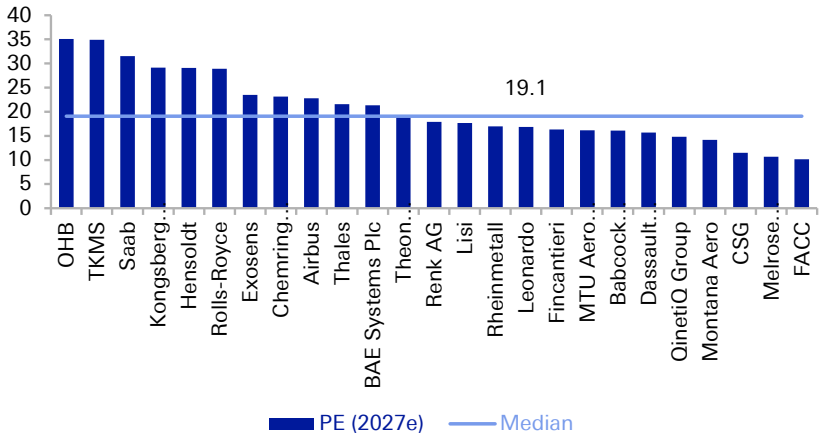
Europe A&D trading multiples

Figure 8: EV/EBIT multiples (FY27E)



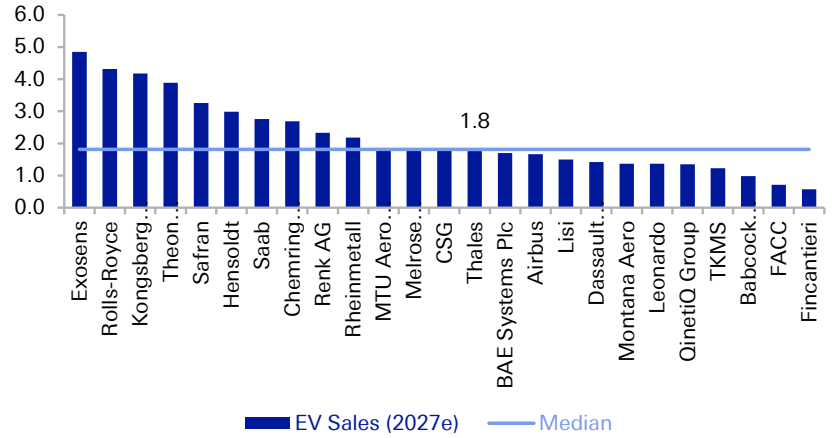
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 9: P/E multiples (FY27E)



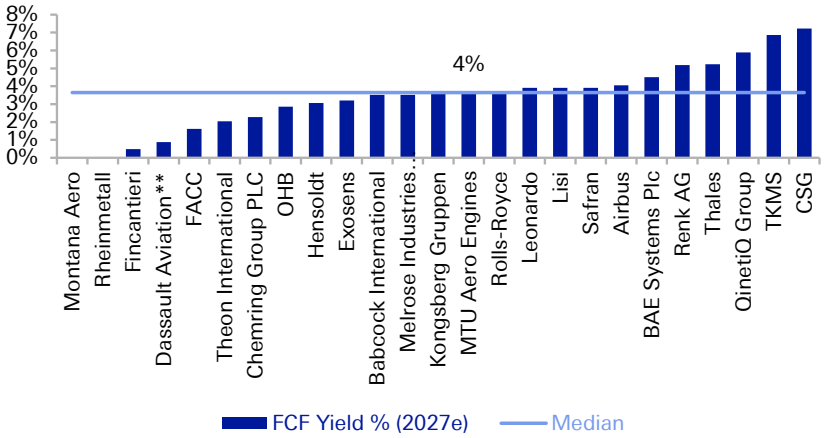
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 10: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

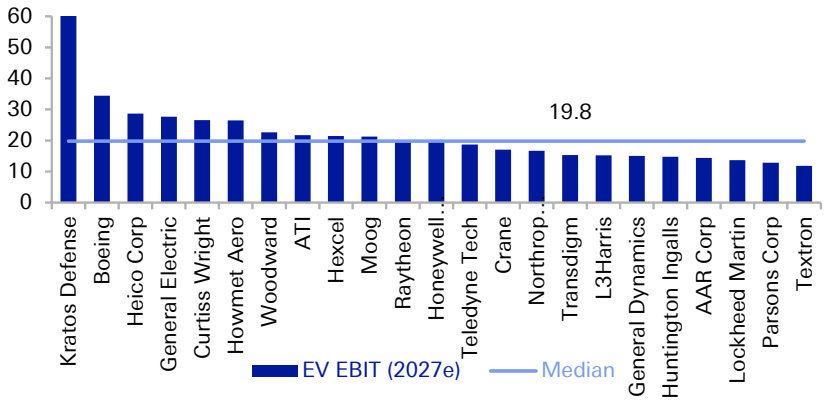
Figure 11: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

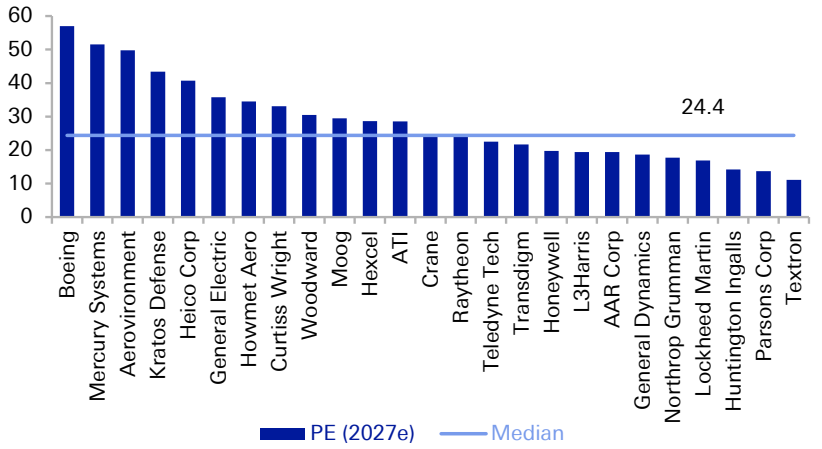
US A&D trading multiples

Figure 12: EV/EBIT multiples (FY27E)



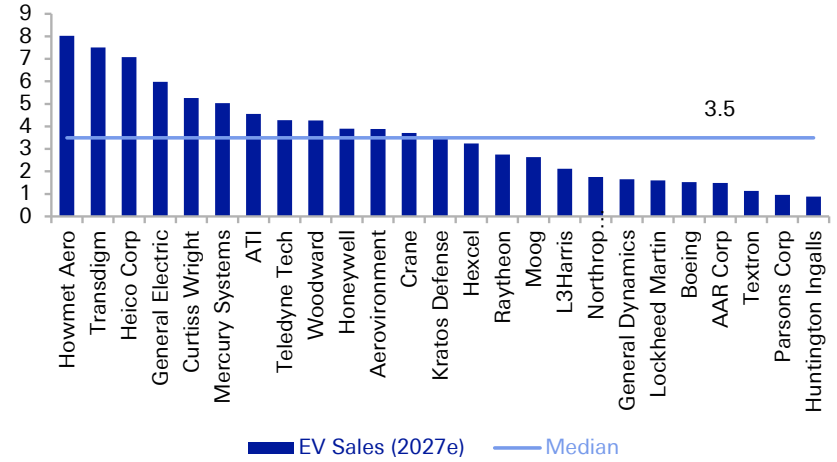
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 13: P/E multiples (FY27E)



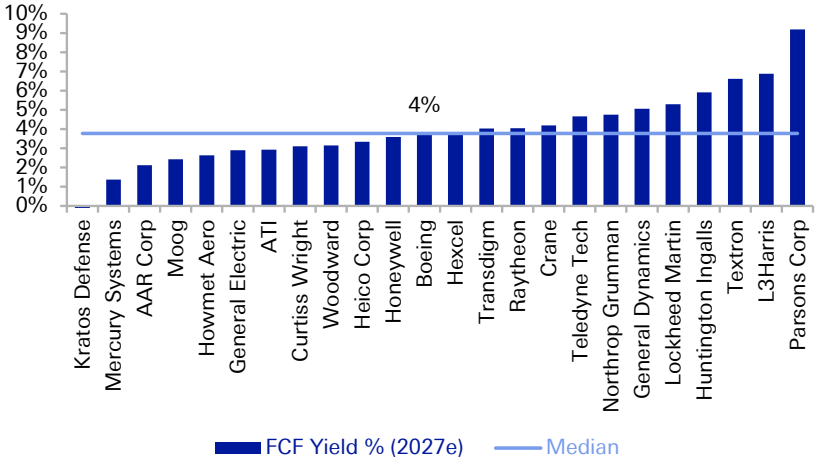
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 14: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

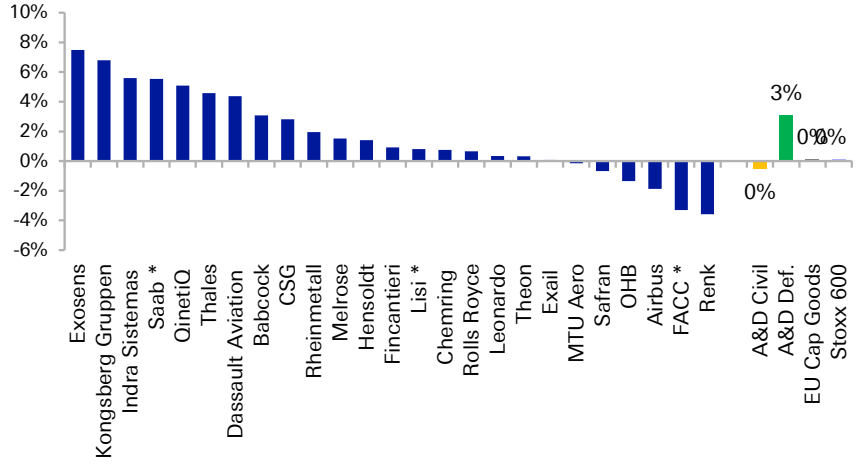
Figure 15: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

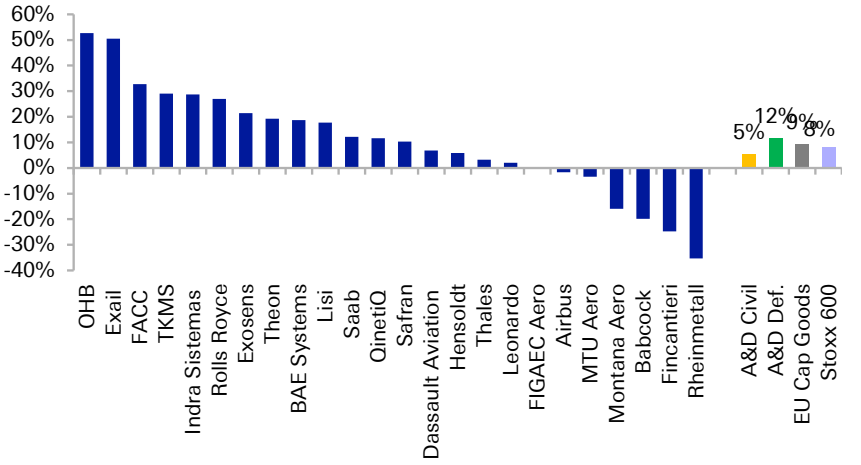
A&D share price performance

Figure 16: Europe A&D – last week's performance



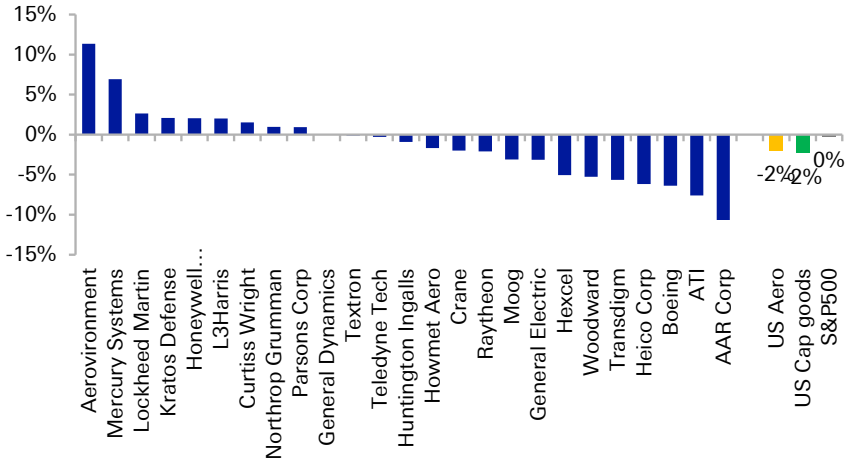
Source : Deutsche Bank, Bloomberg Finance LP

Figure 17: Europe A&D – YTD 2026 performance



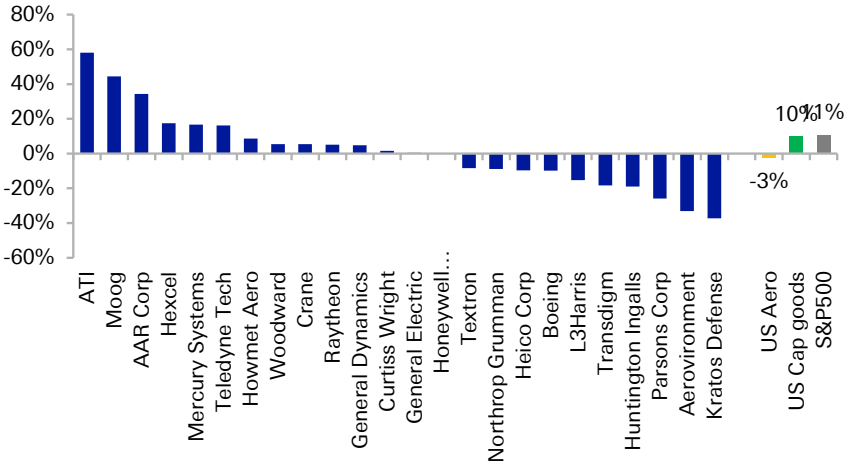
Source : Deutsche Bank, Bloomberg Finance LP

Figure 18: US A&D – last week's performance



Source : Deutsche Bank, Bloomberg Finance LP

Figure 19: US A&D – YTD 2026 performance



Source : Deutsche Bank, Bloomberg Finance LP

A&D sector valuation

Valuation table – listed major European A&D companies

Figure 20: European A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
18/Sep/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
Airbus	Christophe Menard	EUR	195.7	232.0	19%	Buy	9.6%	10.1%	11.1%	1.9	1.7	1.4	19.3	16.5	12.8	26.0	22.8	17.9	1.8%	2.1%	2.8%	3.0%	4.1%	5.2%	59%	70%	71%
Safran	Christophe Menard	EUR	328.0	398.0	21%	Buy	18.0%	17.8%	18.6%	3.6	3.3	2.9	20.3	17.7	15.7	31.0	24.4	21.6	1.4%	1.8%	2.1%	3.5%	3.9%	4.5%	75%	73%	76%
MTU Aero Engines	Christophe Menard	EUR	343.2	435.0	27%	Buy	14.4%	14.7%	14.7%	2.1	1.8	1.6	14.5	12.6	11.1	18.7	16.2	14.4	1.3%	1.9%	2.8%	3.0%	3.7%	4.8%	40%	43%	50%
Rolls-Royce	Christophe Menard	GBP	1,464.2	1,705.0	16%	Buy	19.1%	18.7%	18.6%	5.0	4.3	3.8	26.0	23.1	20.3	33.2	28.9	25.2	0.9%	1.0%	1.2%	3.3%	3.7%	4.6%	88%	87%	95%
OHB	Sriram Krishnan, CFA	EUR	175.0	275.0	57%	Buy	7.5%	8.4%	9.2%	1.8	1.5	1.0	24.3	17.3	11.4	47.4	35.1	23.7	0.5%	0.9%	1.3%	1.9%	2.9%	5.0%	60%	67%	81%
Melrose Industries PLC	Richard Paige	GBP	483.2	575.0	19%	Hold	18.0%	20.5%	22.0%	2.0	1.8	1.6	11.3	8.9	7.5	14.0	10.7	9.0	1.7%	2.0%	2.4%	2.3%	3.5%	5.7%	21%	25%	34%
Lisi	*Not covered*	EUR	62.3	-	-	-	10.6%	11.3%	11.9%	1.7	1.5	1.4	15.6	13.2	11.4	21.8	17.7	15.2	0.9%	1.0%	1.2%	2.7%	3.9%	5.0%	38%	47%	52%
FACC	*Not covered*	EUR	15.2	-	-	-	6.1%	7.7%	8.4%	0.8	0.7	0.7	13.1	9.2	7.7	15.1	10.2	8.4	1.2%	2.1%	2.6%	6.5%	1.6%	5.5%	68%	12%	34%
Avio	*Not covered*	EUR	28.9	-	-	-	2.3%	1.9%	2.2%	1.4	1.2	1.1	59.8	64.8	49.7	78.6	91.6	82.2	0.6%	0.5%	0.6%				0%	0%	
Montana Aero	*Not covered*	CHF	23.8	-	-	-	9.1%	10.7%	12.0%	1.5	1.4	1.2	16.5	12.8	10.4	19.8	14.2	11.4	1.0%	1.5%							
FIGAEC Aero	*Not covered*	EUR	10.8	-	-	-	6.8%	7.6%	9.0%	1.5	1.4	1.2	22.6	18.2	13.8	42.0	23.9	14.1		0.0%		0.3%	2.7%	5.2%	5%	32%	46%
Civil median							**9.4%**	**10.4%**	**11.5%**	**1.8**	**1.6**	**1.4**	**19.8**	**16.9**	**12.1**	**28.5**	**23.4**	**16.5**	**1.0%**	**1.3%**	**1.7%**	**3.0%**	**3.6%**	**5.0%**	**59%**	**43%**	**62%**
BAE Systems Plc	Christophe Menard	GBP	2,034.0	2,325.0	14%	Hold	10.9%	11.1%	11.2%	1.9	1.7	1.6	17.4	15.3	13.8	24.4	21.4	19.2	1.9%	2.1%	2.4%	3.7%	4.5%	4.8%	62%	68%	65%
Thales	Christophe Menard	EUR	237.2	296.0	25%	Buy	12.7%	13.2%	13.6%	2.0	1.8	1.5	15.7	13.3	11.4	27.1	21.5	18.5	1.8%	2.2%	2.5%	5.0%	5.2%	6.4%	81%	74%	81%
Dassault Aviation**	Christophe Menard	EUR	291.0	330.0	13%	Hold	9.1%	9.6%	10.1%	1.6	1.4	1.2	16.8	13.9	11.0	19.1	15.7	13.3	1.5%	1.8%	2.2%	3.7%	0.9%	1.3%	107%	21%	23%
Renk AG	Christophe Menard	EUR	40.7	73.0	79%	Buy	17.9%	18.4%	18.8%	2.8	2.3	1.9	15.5	12.7	10.3	22.3	17.9	14.4	2.1%	2.8%	3.4%	4.5%	5.2%	6.2%	65%	63%	63%
Rheinmetall	Christoph Laskawi	EUR	1,010.0	1,800.0	78%	Buy	19.2%	20.0%	20.7%	3.1	2.2	1.7	16.1	10.9	8.2	25.4	17.0	12.9	1.5%	2.3%	3.0%	8.7%	0.1%	3.6%	151%	1%	31%
Leonardo	Christophe Menard	EUR	50.2	72.0	44%	Buy	9.5%	10.2%	11.1%	1.5	1.4	1.2	16.0	13.4	11.0	20.1	16.9	14.0	1.6%	1.9%	2.4%	4.1%	3.9%	4.5%	58%	46%	45%
Hensoldt	Christophe Menard	EUR	77.7	105.0	35%	Buy	13.6%	15.1%	16.5%	3.5	3.0	2.5	26.0	19.8	14.8	42.1	29.1	20.9	0.9%	1.2%	1.7%	2.3%	3.1%	4.1%	54%	56%	58%
QinetiQ Group	Richard Paige	GBP	496.4	600.0	21%	Buy	11.3%	11.2%	11.3%	1.4	1.3	1.3	12.4	12.0	11.3	15.3	14.8	13.5	2.2%	2.4%	2.6%	6.0%	5.9%	7.3%	73%	70%	82%
Chemring Group PLC	Richard Paige	GBP	536.0	650.0	21%	Buy	15.0%	15.6%	16.1%	3.0	2.7	2.4	19.7	17.2	15.1	26.2	23.2	20.8	1.5%	1.8%	2.0%	0.0%	2.3%	4.6%	0%	35%	63%
Babcock International	James Beard	GBP	995.2	1,100.0	11%	Hold	5.7%	8.4%	8.7%	1.2	1.0	0.9	20.5	11.7	10.3	29.3	16.1	14.1	0.8%	1.0%	1.1%	5.1%	3.5%	4.9%	89%	39%	50%
Fincantieri	Sriram Krishnan, CFA	EUR	12.6	19.0	51%	Buy	4.3%	5.4%	6.0%	0.6	0.6	0.5	14.8	10.5	8.6	24.6	16.3	12.5	0.0%	1.2%	2.0%	-1.2%	0.5%	3.7%	-14%	4%	26%
Exosens	Sriram Krishnan, CFA	EUR	58.9	63.0	7%	Hold	19.2%	28.6%	28.7%	5.5	4.8	4.1	28.7	17.0	14.3	50.1	23.5	20.0	0.5%	1.0%	1.1%	2.6%	3.2%	3.7%	72%	53%	52%
Theon International	Sriram Krishnan, CFA	EUR	31.6	39.0	23%	Buy	26.1%	26.2%	26.4%	5.0	3.9	3.2	19.3	14.8	12.1	23.6	19.1	15.3	1.0%	1.3%	1.6%	0.4%	2.0%	3.4%	6%	25%	34%
TKMS	Sriram Krishnan, CFA	EUR	85.3	112.0	31%	Buy	6.6%	7.2%	7.5%	1.5	1.2	0.9	23.2	17.0	12.1	43.1	34.9	27.5	0.0%	0.9%	1.3%	4.9%	6.9%	6.0%	164%	189%	128%
CSG	Sriram Krishnan, CFA	EUR	16.1	25.0	55%	Buy	24.6%	24.8%	25.1%	2.2	1.8	1.5	9.0	7.3	5.8	14.0	11.5	9.6	0.0%	2.6%	3.4%	6.6%	7.2%	9.1%	57%	54%	57%
Kongsberg Gruppen	Sriram Krishnan, CFA	NOK	323.6	360.0	11%	Buy	16.4%	17.4%	17.9%	6.2	4.2	3.1	37.9	24.0	17.4	37.5	29.1	21.9	1.9%	2.1%	2.7%	2.7%	3.6%	4.5%	107%	95%	86%
Saab	*Not covered*	SEK	603.2	-	-	-	10.8%	11.2%	11.7%	3.4	2.8	2.3	31.2	24.6	20.1	40.2	31.5	25.6	0.6%	0.7%	0.9%	0.9%	1.4%	2.3%	29%	33%	46%
Indra Sistemas	*Not covered*	EUR	62.6	-	-	-	10.4%	10.7%	11.3%	1.6	1.4	1.2	15.0	12.9	10.9	23.0	19.3	16.3	0.7%	0.8%	0.9%	4.6%	4.7%	5.9%	72%	63%	66%
Exail	*Not covered*	EUR	124.5	-	-	-	16.9%	19.1%	20.5%	3.9	3.1	2.6	23.1	16.1	12.8	89.0	32.1	23.8	0.0%	0.0%		2.3%	3.1%	4.5%	50%	47%	54%
Defence median							**12.0%**	**12.2%**	**12.6%**	**2.1**	**1.8**	**1.6**	**17.4**	**13.9**	**11.4**	**25.4**	**19.3**	**16.3**	**1.3%**	**1.8%**	**2.2%**	**3.7%**	**3.4%**	**4.5%**	**68%**	**50%**	**56%**
UK median							**11.1%**	**11.2%**	**11.3%**	**1.9**	**1.7**	**1.5**	**20.1**	**16.2**	**12.6**	**27.8**	**22.3**	**20.0**	**1.2%**	**1.5%**	**1.6%**	**3.5%**	**3.5%**	**4.9%**	**68%**	**53%**	**71%**
EU median							**10.6%**	**11.2%**	**11.9%**	**1.9**	**1.7**	**1.4**	**18.0**	**14.4**	**11.4**	**25.7**	**20.4**	**15.8**	**1.0%**	**1.5%**	**2.1%**	**3.0%**	**3.2%**	**4.5%**	**60%**	**47%**	**52%**
European A&D Sector median							**10.8%**	**11.2%**	**11.8%**	**1.9**	**1.7**	**1.5**	**19.3**	**14.8**	**11.4**	**26.0**	**21.4**	**16.3**	**1.0%**	**1.7%**	**2.1%**	**3.4%**	**3.5%**	**4.8%**	**62%**	**47%**	**56%**
European A&D Sector average / mean							**12.5%**	**13.5%**	**14.1%**	**2.4**	**2.0**	**1.7**	**20.8**	**16.7**	**13.5**	**31.5**	**23.7**	**19.3**	**1.1%**	**1.5%**	**2.0%**	**3.4%**	**3.3%**	**4.7%**	**62%**	**50%**	**58%**

uncovered stocks data is from Bloomberg
** Dassault EV excluding Thales value

*Source : Deutsche Bank Research , Bloomberg Finance LP for non-covered companies; *Based on closing prices as of 17 September 2026*

Valuation table – listed major US A&D companies

Figure 21: US A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
18/Sep/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
General Electric	Scott Deuschle	USD	313	450	44%	Buy	21.4%	21.6%	22.3%	6.6	6.0	5.4	31.1	27.7	24.2	39.8	35.8	31.0	0.6%	0.7%	0.8%	2.8%	2.9%	3.2%	84%	79%	77%
Raytheon	Scott Deuschle	USD	194	238	23%	Buy	13.2%	13.8%	14.4%	3.0	2.8	2.5	22.7	20.0	17.5	27.0	24.3	21.8	1.5%	1.6%	1.7%	3.3%	4.0%	4.6%	68%	74%	75%
Honeywell Technologie	Nicole DeBlase	USD	206	282	37%	Buy	17.3%	19.7%	25.2%	3.9	3.9	4.2	22.8	19.8	16.7	24.8	19.7	18.2	2.2%	2.0%	2.3%	3.1%	3.6%	5.1%	57%	58%	61%
Boeing	Scott Deuschle	USD	197	248	26%	Hold	0.9%	4.4%	7.0%	1.9	1.5	1.3	NM	34.4	18.8	NM	57.0	25.7	0.0%	0.1%	0.6%	1.9%	3.8%	7.1%	343%	117%	128%
Lockheed Martin	Scott Deuschle	USD	538	581	8%	Hold	11.9%	11.7%	11.6%	1.7	1.6	1.5	14.2	13.6	13.0	17.9	16.9	15.5	2.6%	2.7%	2.8%	5.7%	5.3%	5.7%	74%	66%	67%
General Dynamics	Scott Deuschle	USD	356	384	8%	Hold	10.5%	10.9%	11.0%	1.8	1.6	1.6	16.8	15.1	14.1	20.8	18.7	17.5	1.8%	1.9%	1.9%	5.2%	5.1%	5.4%	84%	76%	76%
Northrop Grumman	Scott Deuschle	USD	524	615	17%	Buy	10.5%	10.5%	10.7%	1.9	1.8	1.7	18.0	16.7	15.6	18.2	17.7	16.3	1.9%	2.0%	2.1%	4.5%	4.7%	4.8%	73%	71%	68%
Transdigm	Scott Deuschle	USD	1,076	1,361	26%	Hold	48.6%	49.0%	49.9%	8.5	7.5	6.9	17.4	15.3	13.7	25.9	21.6	18.8	4.4%	2.4%	2.8%	3.3%	4.0%	4.7%	39%	42%	45%
L3Harris	Scott Deuschle	USD	250	269	7%	Hold	13.7%	13.9%	14.2%	2.3	2.1	1.9	17.0	15.2	13.4	21.0	19.4	17.3	2.0%	2.1%	2.2%	6.4%	6.9%	7.5%	92%	92%	91%
Howmet Aero	Scott Deuschle	USD	226	343	52%	Buy	29.7%	30.3%	31.9%	9.2	8.0	6.9	31.1	26.4	21.6	42.4	34.5	27.8	0.2%	0.3%	0.3%	2.4%	2.6%	3.3%	71%	68%	70%
Heico Corp	Scott Deuschle	USD	296	425	43%	Buy	24.3%	24.7%	25.1%	8.1	7.1	6.3	33.4	28.7	24.9	46.7	40.7	35.2	0.1%	0.1%	0.1%	3.1%	3.3%	3.8%	82%	78%	79%
Huntington Ingalls	Scott Deuschle	USD	277	304	10%	Hold	5.6%	6.0%	6.2%	0.9	0.9	0.8	16.8	14.8	13.4	14.7	14.2	13.1	2.0%	2.1%	2.3%	5.4%	5.9%	6.7%	76%	75%	78%
Hexcel	Scott Deuschle	USD	88	100	14%	Hold	13.2%	15.1%	16.7%	3.6	3.2	2.9	27.0	21.4	17.3	36.9	28.6	23.0	0.8%	0.9%	1.0%	3.0%	3.8%	4.5%	73%	74%	73%
Woodward	Scott Deuschle	USD	320	502	57%	Buy	18.3%	18.8%	19.9%	4.6	4.3	3.9	24.9	22.7	19.5	33.7	30.5	26.2	0.4%	0.4%	0.5%	1.8%	3.1%	3.7%	43%	68%	69%
Crane	Scott Deuschle	USD	198	240	21%	Buy	20.6%	21.7%	22.9%	4.0	3.7	3.4	19.6	17.1	14.8	27.9	24.4	21.5	0.5%	0.6%	0.6%	3.3%	4.2%	4.8%	63%	72%	75%
ATI	Scott Deuschle	USD	184	262	43%	Buy	19.1%	21.0%	22.1%	5.0	4.6	4.1	26.3	21.7	18.7	36.0	28.6	24.5				2.4%	2.9%	3.6%	60%	62%	66%
Teledyne Tech	*Not Covered*	USD	602	-	-	-	22.8%	22.9%	23.4%	4.5	4.3	4.1	19.8	18.7	17.5	24.3	22.5	20.9	0.0%	0.0%	0.0%	4.0%	4.7%	4.9%	75%	82%	81%
Textron	*Not Covered*	USD	81	-	-	-	9.3%	9.6%	10.0%	1.2	1.1	1.1	12.8	11.8	11.0	12.5	11.1	10.1	0.1%	0.1%	0.1%	5.5%	6.6%	8.0%	53%	59%	67%
Curtiss Wright	*Not Covered*	USD	567	-	-	-	19.3%	19.8%	20.4%	5.7	5.3	4.9	29.5	26.5	23.9	37.1	33.1	29.6	0.2%	0.2%	0.2%	2.8%	3.1%	3.4%	81%	80%	78%
Parsons Corp	*Not Covered*	USD	46	-	-	-	5.2%	7.4%	8.0%	1.0	1.0	0.9	19.6	12.8	11.3	18.8	13.7	12.0	0.0%	0.0%	0.0%	7.6%	9.2%	10.3%	114%	91%	89%
Moog	*Not Covered*	USD	356	-	-	-	12.5%	12.4%	12.8%	2.8	2.6	2.5	22.6	21.3	19.3	30.4	29.5		0.3%	0.3%	0.4%	2.4%	2.4%	2.7%	50%	47%	48%
Aerovironment	*Not Covered*	USD	163	-	-	-	-13.3%	0.2%	3.3%	4.5	3.9	3.4	NM	NM	NM	56.9	49.8	36.1				-0.2%	-0.9%	2.6%	NM	NM	262%
Kratos Defense	*Not Covered*	USD	48	-	-	-	1.1%	4.3%	6.0%	4.3	3.5	2.9	NM	82.1	47.7	57.1	43.4	33.4				-1.1%	-0.2%	0.7%	NM	-21%	40%
AAR Corp	*Not Covered*	USD	112	-	-	-	10.1%	10.3%	10.8%	1.7	1.5	1.4	16.4	14.4	12.9	22.9	19.4	17.1				1.5%	2.1%	2.5%	21%	25%	26%
Mercury Systems	*Not Covered*	USD	86	-	-	-	0.4%	6.0%	9.1%	5.7	5.0	4.5	NM	NM	49.5	80.2	51.5	38.7				1.1%	1.4%	2.4%	NM	109%	113%
FTAI	Shannon Doherty	USD	195	290	49%	Buy	26.3%	26.7%	29.3%	6.2	3.7	2.9				16.0	10.0	8.7	0.9%	1.0%	1.0%	6.4%	9.7%	11.0%	130%	115%	96%
US A&D Sector median							**12.5%**	**12.4%**	**12.8%**	**3.9**	**3.5**	**2.9**	**19.8**	**19.8**	**17.4**	**27.0**	**24.3**	**21.5**	**0.4%**	**0.5%**	**0.6%**	**3.1%**	**3.8%**	**4.7%**	**73%**	**72%**	**73%**
US A&D Sector average / mean							**13.5%**	**15.2%**	**16.4%**	**3.9**	**3.5**	**3.2**	**21.4**	**22.4**	**19.5**	**32.1**	**28.1**	**22.7**	**1%**	**1%**	**1%**	**3.3%**	**3.8%**	**4.7%**	**81%**	**68%**	**80%**

*Source : Deutsche Bank Research, Bloomberg Finance LP; *Based on closing prices as of 17 September 2026*

Absolute and relative share price performance – European A&D stocks

Figure 22: European A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs Stoxx 600)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Airbus	EUR	196	-2%	-7%	2%	15%	2%	-2%	-12%	24%	-2%	-5%	2%	8%	-13%	-10%
Safran	EUR	328	-1%	-7%	-2%	7%	15%	10%	-11%	25%	-1%	-5%	-2%	0%	0%	2%
MTU Aero	EUR	343	0%	-8%	1%	3%	-5%	-3%	-15%	29%	0%	-6%	0%	-4%	-20%	-11%
Rolls Royce	GBP	1,464	1%	-5%	4%	17%	30%	27%	-8%	44%	1%	-3%	3%	10%	14%	19%
Melrose	GBP	483	2%	-1%	0%	-6%	-19%	-18%	-29%	18%	1%	1%	0%	-13%	-34%	-26%
Lisi *	EUR	62	1%	-7%	-8%	24%	35%	18%	-14%	40%	1%	-5%	-8%	17%	20%	10%
FACC *	EUR	15	-3%	-9%	-13%	3%	62%	33%	-23%	81%	-3%	-7%	-14%	-4%	47%	25%
Avio	EUR	29	-1%	-11%	-15%	126%	-13%	-1%	-45%	24%	-1%	-9%	-16%	119%	-29%	-9%
OHB	EUR	175	-1%	-30%	-53%	-30%	175%	53%	-74%	179%	-1%	-29%	-54%	-37%	160%	45%
Montana Aero	CHF	24	0%	-10%	8%	-17%	-16%	-16%	-33%	20%	-1%	-8%	8%	-24%	-32%	-24%
FIGAEC Aero	EUR	11	-2%	-3%	-11%	8%	1%	0%	-17%	20%	-2%	-1%	-11%	1%	-14%	-8%
Civil median			**0%**	**-7%**	**-1%**	**6%**	**9%**	**5%**	**-16%**	**27%**	**-1%**	**-5%**	**-1%**	**-1%**	**-7%**	**-3%**
BAE Systems	GBP	2,034	7%	-9%	11%	-13%	4%	19%	-14%	28%	7%	-7%	10%	-20%	-11%	11%
Thales	EUR	237	5%	-11%	2%	-6%	-6%	3%	-15%	12%	4%	-9%	2%	-13%	-21%	-5%
Dassault Aviation	EUR	291	4%	-6%	-3%	-16%	-1%	7%	-20%	12%	4%	-4%	-4%	-23%	-16%	-1%
Renk	EUR	41	-4%	-19%	-13%	-28%	-41%	-24%	-55%	4%	-4%	-17%	-13%	-35%	-57%	-32%
Rheinmetall	EUR	1,010	2%	-17%	-14%	-37%	-47%	-35%	-50%	12%	2%	-15%	-15%	-44%	-63%	-43%
Leonardo	EUR	50	0%	-15%	-3%	-22%	1%	2%	-24%	13%	0%	-13%	-4%	-29%	-15%	-6%
Hensoldt	EUR	78	1%	-17%	9%	-7%	-17%	6%	-34%	23%	1%	-16%	8%	-15%	-33%	-2%
Saab *	SEK	603	6%	-12%	20%	-14%	19%	12%	-19%	36%	5%	-10%	19%	-21%	3%	4%
Kongsberg Gruppen	NOK	324	7%	-1%	10%	-7%	28%	50%	-8%	71%	7%	1%	10%	-15%	12%	42%
QinetiQ	GBP	496	5%	-10%	13%	-2%	-2%	12%	-14%	25%	5%	-8%	12%	-9%	-18%	4%
Babcock	GBP	995	3%	-13%	-4%	-29%	-16%	-20%	-35%	10%	3%	-11%	-4%	-36%	-31%	-28%
Chemring	GBP	536	1%	-12%	10%	-2%	-5%	13%	-18%	20%	1%	-10%	10%	-9%	-20%	5%
Fincantieri	EUR	13	1%	0%	14%	-4%	-37%	-25%	-54%	31%	1%	1%	13%	-11%	-52%	-33%
Indra Sistemas	EUR	63	6%	0%	16%	10%	81%	29%	-5%	82%	5%	2%	16%	3%	65%	21%
Exosens	EUR	59	7%	-5%	-1%	-19%	42%	21%	-20%	47%	7%	-4%	-2%	-26%	26%	13%
Exail	EUR	125	0%	0%	17%	-13%	28%	51%	-22%	76%	0%	2%	17%	-20%	13%	43%
Theon	EUR	32	0%	-13%	-5%	-8%	13%	19%	-20%	34%	0%	-11%	-5%	-15%	-2%	11%
TKMS	EUR	85	2%	-12%	14%	-2%		29%	-22%	50%	2%	-10%	14%	-9%		21%
CSG	EUR	16	3%	-18%	13%			-36%	-55%	32%	3%	-16%	12%			-44%
Defence median			**3%**	**-11%**	**9%**	**-13%**	**-1%**	**12%**	**-20%**	**25%**	**3%**	**-9%**	**8%**	**-20%**	**-16%**	**4%**
UK median			**2%**	**-9%**	**4%**	**-2%**	**-2%**	**13%**	**-14%**	**25%**	**1%**	**-7%**	**3%**	**-9%**	**-18%**	**5%**
EU median			**0%**	**-9%**	**-1%**	**-7%**	**2%**	**6%**	**-20%**	**27%**	**0%**	**-7%**	**-2%**	**-15%**	**-14%**	**-2%**
European A&D Sector median			**1%**	**-9%**	**0%**	**-6%**	**0%**	**6%**	**-18%**	**24%**	**1%**	**-8%**	**0%**	**-13%**	**-16%**	**-2%**
European A&D Sector average / mean			**2%**	**-10%**	**-2%**	**-1%**	**10%**	**8%**	**-25%**	**36%**	**1%**	**-8%**	**-2%**	**-8%**	**-6%**	**0%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 17 September 2026*

Absolute and relative share price performance – US A&D stocks

Figure 23: US A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs S&P 500)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Boeing	USD	197	-6%	-12%	-12%	-4%	-9%	-10%	-23%	11%	-6%	-11%	-13%	-20%	-24%	-21%
Honeywell Technolog	USD	206	2%	-9%	-14%	-14%	-1%	0%	-21%	5%	2%	-9%	-16%	-30%	-16%	-10%
General Electric	USD	313	-3%	-16%	-12%	4%	6%	1%	-19%	17%	-3%	-16%	-14%	-11%	-10%	-10%
Raytheon	USD	194	-2%	-14%	4%	-5%	22%	5%	-15%	24%	-2%	-13%	2%	-21%	7%	-6%
Transdigm	USD	1076	-6%	-13%	-19%	-10%	-16%	-18%	-26%	0%	-5%	-12%	-21%	-26%	-32%	-29%
Heico Corp	USD	296	-6%	-19%	-12%	3%	-8%	-10%	-21%	16%	-6%	-19%	-14%	-12%	-23%	-20%
Teledyne Tech	USD	602	0%	-9%	-3%	-5%	7%	16%	-14%	25%	0%	-9%	-5%	-20%	-8%	5%
Howmet Aero	USD	226	-2%	-23%	-19%	-7%	18%	9%	-27%	24%	-1%	-22%	-21%	-22%	3%	-2%
Textron	USD	81	0%	-7%	-10%	-9%	-4%	-8%	-20%	4%	0%	-6%	-11%	-24%	-19%	-19%
Curtiss Wright	USD	567	2%	-18%	-26%	-18%	11%	2%	-30%	14%	2%	-18%	-28%	-33%	-5%	-9%
Hexcel	USD	88	-5%	-13%	-10%	9%	41%	17%	-21%	46%	-5%	-12%	-12%	-7%	26%	7%
Parsons Corp	USD	46	1%	-1%	-12%	-10%	-43%	-26%	-48%	27%	1%	0%	-13%	-25%	-58%	-37%
Mercury Systems	USD	86	7%	-18%	-24%	9%	12%	17%	-33%	33%	7%	-17%	-26%	-6%	-3%	6%
Moog	USD	356	-3%	-19%	-13%	15%	78%	44%	-21%	85%	-3%	-18%	-15%	0%	63%	34%
AAR Corp	USD	112	-11%	-25%	-17%	3%	48%	34%	-27%	51%	-10%	-24%	-19%	-12%	32%	23%
Woodward	USD	320	-5%	-13%	-26%	-14%	33%	5%	-29%	37%	-5%	-12%	-28%	-30%	18%	-5%
Crane	USD	198	-2%	-8%	-8%	13%	7%	5%	-14%	24%	-2%	-7%	-10%	-2%	-8%	-5%
ATI	USD	184	-8%	-19%	-9%	23%	128%	58%	-25%	145%	-7%	-18%	-11%	7%	113%	47%
Civil median			**-3%**	**-14%**	**-12%**	**-5%**	**9%**	**5%**	**-22%**	**24%**	**-2%**	**-13%**	**-14%**	**-20%**	**-6%**	**-5%**
Lockheed Martin	USD	538	3%	-11%	5%	-16%	14%	10%	-22%	23%	3%	-11%	3%	-32%	-2%	0%
General Dynamics	USD	356	0%	-10%	2%	1%	10%	5%	-11%	16%	0%	-9%	0%	-15%	-5%	-6%
Northrop Grumman	USD	524	1%	-11%	0%	-28%	-9%	-9%	-32%	9%	1%	-10%	-1%	-43%	-24%	-20%
L3Harris	USD	250	2%	-10%	-15%	-32%	-11%	-15%	-34%	2%	2%	-10%	-17%	-47%	-27%	-26%
Huntington Ingalls	USD	277	-1%	-13%	-3%	-35%	1%	-19%	-40%	5%	-1%	-12%	-5%	-51%	-14%	-30%
Kratos Defense	USD	48	2%	-23%	-12%	-49%	-41%	-37%	-64%	11%	2%	-22%	-14%	-64%	-56%	-48%
Aerovironment	USD	163	11%	-6%	-4%	-24%	-42%	-33%	-61%	21%	12%	-5%	-6%	-40%	-58%	-44%
Defence median			**2%**	**-11%**	**-3%**	**-28%**	**-9%**	**-15%**	**-34%**	**11%**	**2%**	**-10%**	**-5%**	**-43%**	**-24%**	**-26%**
US A&D Sector median			**-3%**	**-14%**	**-12%**	**-5%**	**9%**	**5%**	**-22%**	**24%**	**-2%**	**-13%**	**-14%**	**-20%**	**-6%**	**-5%**
US A&D Sector average / mean			**-3%**	**-14%**	**-13%**	**-1%**	**18%**	**8%**	**-24%**	**33%**	**-2%**	**-14%**	**-15%**	**-16%**	**3%**	**-3%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 17 September 2026*



Appendix 1

Important Disclosures

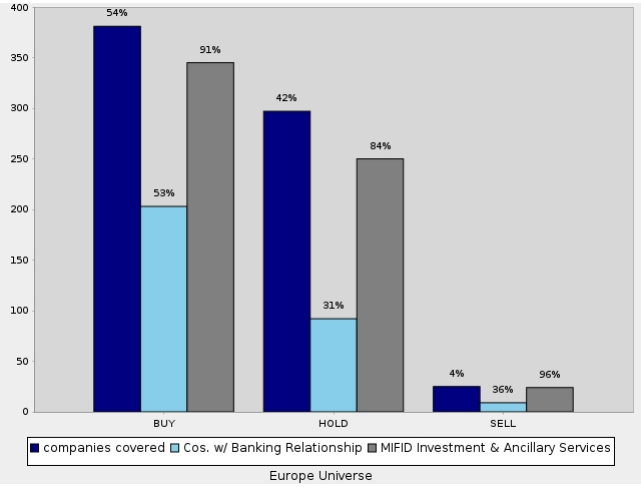
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Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

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